

Table V indicates the advantage that will be gained by M. K. & T. through the drastic scaling down in its fixed interest charges. The latter will require only 7.7c. out of each dollar of receipts, a ratio so low as to guarantee a large margin of safety for the Prior Lien Bonds under ordinary conditions. In this respect M. K. & T. is seen to enjoy an important advantage over St. Louis-San Francisco, its interest charges—both fixed and contingent—being proportionately lower.

Earning Power. In comparing the earning power of two enterprises, it is customary to take the average of reports covering a number of years. In the present case, however, the disturbing influence of federal control makes such a procedure impracticable. For the figures of earlier years are too remote, and those from 1917 to 1920 are too abnormal, to afford a sound basis for analysis. It is necessary, therefore, to lay chief emphasis upon the most recent operating results. Statements for the eleven months ended November 30, 1921, have just been published. By adding one-eleventh to these figures the approximation to the full year's income account may be shown in Table VI.

TABLE VI.—INCOME ACCOUNT CALENDAR YEAR 1921 (ONE MONTH ESTIMATED)

	M. K. & T.		'Frisco	
	Income	% of gross	Income	% of gross
Mileage operated	3,784		5,165	
Gross revenues	\$63,842,000	100.0	\$86,521,000	100.0
Maintenance	24,635,000	38.6	26,874,000	31.1
Other operating expenses	25,072,000	39.3	37,275,000	43.1
Taxes	2,731,000	4.3	3,790,000	4.4
Rentals, etc., less other income	1,654,000	2.6	1,065,000*	1.2
Balance for interest	9,750,000	15.2	17,517,000	20.2
Fixed interest	4,918,000	7.7	9,248,000	10.7
Contingent interest	2,875,000	4.5	4,750,000	5.5
Balance for stocks	1,957,000	3.0	3,519,000	4.0
Pfd. div. requirements	1,715,000	2.7	450,000	.5
Balance for common	242,000	0.3	3,069,000	3.5

* 1920 figures partly used.

In analyzing the above figures, it is necessary to pay particular attention to the much heavier expenditures for maintenance made by M. K. & T. Out of each dollar of receipts, the latter road devoted 38.6c. to upkeep, against only 31.1c. in